

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

ILSE CHAIGNEAU, *Claimant*

v.

TRANSPARENT INTERNATIONAL, *Respondent*.

DOCKET NO. 2059(I)

Served: September 4, 2026

ORDER OF: Jamie L. MENDELSON, *Small Claims Officer*.

INITIAL DECISION¹

I. INTRODUCTION

This proceeding arises from a small claims complaint (“Claim”), filed by Ilse Chaigneau (“Claimant”) against Transparent International (“Respondent”), before the Federal Maritime Commission (“FMC” or “Commission”). Claimant paid Respondent, an ocean transportation intermediary, for an international shipment of Claimant’s household goods from Scottsdale, Arizona, to Vers-Pont-du-Gard, France. Respondent hired a local moving company to pick up Claimant’s household goods and store them pending shipment by ocean transportation. However, Respondent never shipped the household goods, which remained in storage with the local moving company. Respondent stopped communicating with Claimant and failed to pay the local moving company for storage fees that continued to accrue. As a result of Respondent’s failure to ship the household goods, Claimant ultimately paid the storage fees to obtain the release of her household goods and then paid another international moving company to ship the household goods. The Claim seeks reparations for the amount paid to Respondent, as well as the amounts paid for cargo insurance, storage fees, hiring another international moving company to ship the household goods, legal costs, and the loss of use of the personal belongings. Respondent has failed to respond to the Claim or otherwise appear in this proceeding. As explained more fully below, a decision on default is issued in this case and Claimant is awarded reparations in the amount of \$2,651.75, plus interest.

II. PROCEDURAL HISTORY

On May 8, 2026, the Office of the Secretary (“OS”) of the FMC received the Claim for informal adjudication. On May 13, 2026, the Secretary of the FMC issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), and sent the Notice, together with a copy of the Claim, by UPS to Respondent on the same date. The Notice advised Respondent that it

¹ Pursuant to 46 C.F.R. § 502.304(g), this decision will become final unless the Commission elects to review it within 30 days of service.

was required to file a response to the Claim by June 8, 2026, and indicate whether it consents to the adjudication of the Claim under the informal procedures provided at Subpart S of the Commission's Rules of Practice and Procedure (46 C.F.R. § 502.301-305) ("Rules"). The mailing containing the Notice and Claim were returned as undeliverable on May 27, 2026.

On June 9, 2026, the Secretary re-sent the Notice and Claim by FedEx to Respondent's address on file for service of process with the Secretary of State of New York, where Respondent is registered as a limited liability company.² FedEx successfully delivered the Notice and Claim on June 10, 2026, as evidenced by the FedEx proof of delivery for tracking number 872844528833.

Respondent did not file a response and therefore did not refuse to consent to the informal procedures. On July 22, 2026, the Chief Administrative Law Judge assigned this proceeding to the undersigned Small Claims Officer ("SCO") for adjudication under the informal procedures for small claims.

On July 24, 2026, an Order for Respondent to Show Cause ("OSC") was issued, requiring Respondent to show cause by July 31, 2026, why a default judgment should not be entered against it for failing to file a response to the Claim. The OSC warned Respondent that a failure to respond could cause Respondent to be deemed in default and reparations to be awarded to Claimant. The OSC was successfully delivered to Respondent's address on July 27, 2026, as evidenced by FedEx proof of delivery for tracking number 874840598984. Respondent did not respond to the OSC.

On August 3, 2026, a Request for Information ("RFI") was issued to Claimant. Claimant submitted a response to the RFI, along with supporting documentation, on August 12, 2026. ("C. RFI Resp."). On August 20, 2026, an Order Designating Confidential Treatment was issued, designating the document "Mutual Release and Indemnification Agreement" (submitted as part of Claimant's response to the RFI) as confidential.

III. PRELIMINARY ISSUES

A. Jurisdiction

The Shipping Act provides that a "person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part." 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has exclusive jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Dkt. No. 02-04, 30 S.R.R. 991, 2006 WL 2007808, at *11 (FMC May 10, 2006); *see also Cargo One, Inc. v. COSCO Container Lines Co. Ltd.*, Dkt. No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000).

The Claim alleges that Respondent "violated the Shipping Act of 1984, including 46 U.S.C. Chapter 411, by engaging in unjust and unreasonable practices." (Claim ¶ V). It is appropriate to construe a pro se claimant's filings liberally. *See Paul Houben v. World Moving Servs., Inc.*, Dkt. No. 1887(I), 2010 WL 11930208, at *4 (FMC Jul. 6, 2010) ("Pleadings are to

² <https://apps.dos.ny.gov/publicInquiry/EntityDisplay> (last visited Aug. 25, 2026).

be construed liberally and courts have not limited claims to those specifically described in the pleadings as long as a pleading gives another party fair notice of the claim or defense.”); *see also A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc.*, Dkt. No. 1987(I), 2024 WL 2131767, at *5 n.3 (FMC Apr. 4, 2024) (holding the SCO did not err in “constru[ing] the pro se pleadings liberally, and opt[ing] to analyze the well-pleaded allegations of the complaint” under a different section of the Shipping Act than the section the complaint asserted was violated); *Taylor’s Resources, Inc. (USA) v. Mitsui O.S.K. Lines Ltd.*, Dkt. No. 1954(F), 2018 WL 1757672, at *5 n.11 (FMC Apr. 4, 2018) (noting approvingly that “[t]he ALJ ... liberally construed Complainant’s filings consistent with its pro se status”). While Claimant did not specifically identify a section of the Shipping Act, the Claim is liberally construed as alleging a violation of section 41102(c), which prohibits an ocean transportation intermediary from failing to “establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

It appears that Respondent may have ceased its business operations. Respondent stopped communicating with Claimant, no longer maintains its website,³ had its FMC ocean transportation intermediary license revoked on October 19, 2025, for failure to maintain a bond,⁴ and has failed to respond in this proceeding. Respondent is a registered limited liability company in the State of New York under the entity name Transparent Logistics LLC, with an assumed name of Transparent International.⁵ The State of New York Division of Corporations official website shows that Respondent last filed a Biennial Statement on September 19, 2025, and reflects a current entity status of “active.”⁶ Thus, even if Respondent has ceased business operations, it does not appear that Respondent has legally dissolved. Pursuant to New York Business Corporation Law § 1006, even if Respondent legally dissolves, it “may ... be sued in all courts and participate in actions and proceedings, whether judicial, administrative, arbitral or otherwise, in its corporate name, and process may be served by or upon it” and the “dissolution of a corporation shall not affect any remedy available to or against such corporation, its directors, officers or shareholders for any right or claim existing or any liability incurred before such dissolution.” N.Y. Bus. Corp. Law § 1006(a)(4) and (b).

B. Default

Respondent has failed to respond in this proceeding by failing to file a response to the Claim and failing to respond to the OSC. “Under such circumstances, it is customary for the Commission as well as courts to find that a defaulting respondent has admitted the well-pled allegations both as to the specific violations of law alleged and as to the specific money damages alleged.” *Smart Garments v. Worldlink Logix Servs.*, Dkt. No. 10-11, 2011 WL 7144015, at *1 (ALJ Oct. 31, 2011) (citations omitted), *aff’d* 2013 WL 9808693 (FMC Sep. 12, 2023). “The presiding officer may issue a default judgment, a cease and desist order, or other just ruling

³ According to Claimant, at the time of filing the Claim on May 8, 2026, Respondent had an active website at <https://www.movingtransparent.com>. (Claim at ¶ III.M). The website is no longer active and displays the message “Site Currently Unavailable.” <https://www.movingtransparent.com> (last visited Aug 25, 2026).

⁴ <https://www.fmc.gov/wp-content/uploads/2025/12/2025.10-October-OTI-License-Revocations-and-Surrenders.pdf> (last visited Aug. 25, 2026).

⁵ See <https://apps.dos.ny.gov/publicInquiry/AssumedNameHistory> (last visited Aug. 25, 2026).

⁶ See <https://apps.dos.ny.gov/publicInquiry/FilingHistory> (last visited Aug. 25, 2026).

against a party that fails to respond to a properly served order or pleading.” *Smart Garments*, 2013 WL 9808693, at *2 (citations omitted).⁷

Here, Respondent was properly served the Claim at its address for service of process on file with the New York Secretary of State.⁸ Despite being properly served, Respondent did not respond to the Claim, nor did it respond to the OSC. By failing to contest the allegations against it, the allegations are deemed admitted.

IV. FINDINGS OF FACT

A. Parties

1. Claimant Ilse Chaigneau is an individual currently residing in Vers-Pont-du-Gard, France. (Claim at ¶ I).
2. Respondent is a limited liability corporation registered in the State of New York with an active entity status. (Claim at ¶ II; <https://apps.dos.ny.gov/publicInquiry/EntityDisplay> (last visited Aug. 25, 2026)). Respondent’s registered entity name is Transparent Logistics LLC, with an assumed name of Transparent International. (<https://apps.dos.ny.gov/publicInquiry/AssumedNameHistory> (last visited Aug. 25, 2026)).
3. Respondent held itself out as a business engaged in arranging and coordinating international shipments of household goods, and, as of May 8, 2026, maintained a website at <https://www.movingtransparent.com>. (Claim at ¶¶ II, III.M). Respondent’s website is no longer active and displays the message “Site Currently Unavailable.” (<https://www.movingtransparent.com> (last visited Aug. 25, 2026)).
4. Respondent was an FMC licensed ocean transportation intermediary until its license was revoked on October 19, 2025, for failure to maintain a bond. (<https://www.fmc.gov/wp-content/uploads/2025/12/2025.10-October-OTI-License-Revocations-and-Surrenders.pdf>).

B. Shipping Agreement

5. On August 4, 2025, Claimant entered into an agreement with Respondent for the shipment of Claimant’s household goods, including a crated motorbike, from Scottsdale, Arizona to Vers-Pont-du-Gard, France. (Claim at ¶ III.A and p. 15).⁹ As required for

⁷ Although not directly applicable to the informal procedures in small claims proceedings, Commission Rule 65 provides that a party to a proceeding may be deemed to be in default if that party fails to answer or otherwise to defend the proceeding. 46 C.F.R. § 502.65(a)(2). When a party is found to be in default, the presiding officer may issue a decision on default upon consideration of the record, including the complaint. *Id.* § 502.65(b). Decisions on default have also been issued in small claims proceedings. *See, e.g., Fenton v. Rocky Mountain Overseas*, Dkt. No. 1965(I) (SCO Feb. 17, 2021), *admin. final* Mar. 22, 2021.

⁸ *See* <https://apps.dos.ny.gov/publicInquiry/EntityDisplay> (last visited Aug. 25, 2026).

⁹ The Claim is not paginated. The page numbers throughout this decision refer to the PDF file page number.

transport, Claimant provided Respondent with the original title of the motorbike. (Claim at ¶ III.B).

6. Respondent invoiced Claimant \$14,950.00 for the shipment of household goods, and \$1,716.75 for cargo insurance. (Claim at pp. 14-15). The invoices included Respondent's "OTI-NVOCC" number "026891N." (*Id.*). Both invoices reflected a payment due date of August 19, 2025. (*Id.*). Claimant paid Respondent in full. (Claim at ¶ III.D and pp. 14-15).
7. On August 9, 2025, Claimant's household goods were picked up from Claimant's residence in Scottsdale, Arizona, by a local third-party moving company hired by Respondent. (Claim at ¶ III.C).
8. Respondent represented to Claimant that the shipment would take 8-12 weeks. (Claim at p. 5 (email sent Nov. 6, 2025, at 9:32 a.m.)).

C. Respondent's Failure to Ship the Household Goods

9. Beginning on September 11, 2025, Claimant repeatedly requested updates from Respondent. (Claim at ¶ III.E and pp. 4-13). Respondent's Operations Manager, Jacob Hodgson, provided only vague responses, such as stating that Respondent was "waiting for green light," without providing any clear information. (*Id.*).
 - a. On September 11, 2025, Mr. Hodgson wrote, "I am currently awaiting greenlight to proceed." (Claim at p. 4).
 - b. On October 2, 2025, Mr. Hodgson wrote, "I am awaiting go ahead to load, once loaded I will provide you with the tracking link." (Claim at p. 4).
 - c. On October 27, 2025, Mr. Hodgson wrote, "We are still awaiting clearance to proceed with the shipment. We are on standby to move forward as soon as we are given the greenlight." (Claim at p. 5).
 - d. On November 6, 2025, in response to Claimant's question asking whether the household goods would arrive before Christmas, Mr. Hodgson wrote, "Let me inquire with my contact at customs." (Claim at pp. 5-6).
 - e. On November 25, 2025, Mr. Hodgson wrote, "We are still awaiting the greenlight to proceed with the shipment." (Claim at p. 6).
 - f. On January 5, 2026, Mr. Hodgson wrote, "I certainly apologize for the frustration, currently the goods are still awaiting transport and are with the same agent. I am awaiting my greenlight to proceed at the current time and the previous advisal remains current." (Claim at p. 7).
10. On or about late December 2025 or early January 2026, Claimant discovered that the household goods had not been shipped and remained in storage with the local moving company in Phoenix, Arizona. (Claim at ¶ III.F and p. 8).

11. The local moving company confirmed to Claimant that they had not received payment from Respondent nor had they received any further instructions regarding the shipment. (Claim at ¶ III.G). The local moving company also stated that they could not release the household goods to Claimant without authorization from Respondent. (*Id.* ¶ III.H). Storage fees imposed by the local moving company had been accruing since August 19, 2025, and continued to accrue. (*Id.* ¶ III.I.).
12. On February 11, 2026, Claimant sent an email to Mr. Hodgson requesting that Respondent “either arrange shipment of our goods without further delay or return our goods with a full refund of all payments remitted, so that we may make alternative arrangements.” (Claim at p. 12). Mr. Hodgson replied on February 25, 2026, stating, “I have been pushing this to upper management, I myself do not have the ability to proceed as there are systems I do not have access to. I am pushing with upper but I cant facilitate this myself.” (Claim at p. 12 (spelling as in original)).
13. Respondent ultimately ceased communications with Claimant and failed to arrange for the shipment, authorize the local moving company to release the household goods to Claimant, return the original title to the motorbike, or provide any refund. (Claim at ¶¶ III.J, III.K).
14. Claimant is aware of numerous other consumers reporting similar experiences with Respondent, in which Respondent accepted payment, arranged for pickup through third-party movers, and then failed to complete the shipment or maintain communication. (Claim at ¶ III.N).

D. Claimant’s Mitigation Efforts

15. Claimant negotiated a resolution with the local moving company, which had picked up and was holding Claimant’s household goods at Respondent’s direction. As part of the negotiated resolution, Claimant paid \$5,000 to settle the accrued storage fees in return for the release of the household goods. (C. RFI Resp. at No. 6). Claimant made the \$5,000 payment on June 8, 2026, and the local moving company released the household goods to Claimant on July 1, 2026. (C. RFI Resp. at No. 6 and Attch. “10659 Paid Invoice”).
16. Claimant contracted with a third-party international moving company to ship her household goods to Vers-Pont-du-Gard, France, for €12.220,00. (C. RFI Resp. at No. 9 and Attch. “inv26703983 Schmidt”). Claimant made the €12.220,00 payment on June 9, 2026, which was the equivalent of \$14,089.70 in U.S. Dollars.¹⁰ (*Id.*). The shipment was scheduled to arrive in Rotterdam on August 25, 2026, where it is anticipated to take two to five weeks to clear customs and be delivered at Claimant’s home in France. (C. RFI Resp. at No. 8).

¹⁰ The conversion was calculated using an online historical currency conversion calculator for the date of June 9, 2026. <https://www.oanda.com/currency-converter/en/?from=EUR&to=USD&amount=12220> (last visited Aug. 25, 2026).

17. On April 20, 2026, Claimant paid \$4.00 to obtain a replacement title for the motorbike. (C. RFI Resp. at No. 4 and Attch. “Payment MVD Title Replacement”).
18. Claimant filed a claim with the cargo insurance purchased through Respondent. (C. RFI Resp. at No. 4). On July 21, 2026, the cargo insurance claim was approved for the storage costs with the local moving company and the shipping costs paid to the third-party international moving company, for a total of €16,647.00, the equivalent of \$19,019.40 in U.S. Dollars.¹¹ (C. RFI Resp. at No. 4 and Attch. “Communicatin Baker Group Insurance Broker” (typographical error in original)). Claimant has received the settlement payment. (C. RFI Resp. at No. 4).
19. Claimant also filed a bond claim with Respondent’s surety Hudson Insurance Company (“Hudson”), pursuant to 46 U.S.C. § 40902(b) and 46 C.F.R. § 515.23. (C. RFI Resp. at No. 5 and Attch. “Claim OTI bond Hudson Group”). On April 28, 2026, the firm representing Hudson issued a letter to Claimant denying the bond claim on the grounds that there is neither a judgement against Respondent nor a settlement. The letter states in relevant part:

The bond was issued pursuant to the Shipping Act of 1984, 46 U.S.C. 40101-41309. The condition of the bond is that the penalty amount is available:

“to pay any judgment or any settlement made pursuant to a claim under 46 CFR 515.23 for damages against the Principal arising from the Principal’s transportation-related activities or order for reparations issued pursuant to section 11 of the Shipping Act (46 U.S.C. 41301-41302, 41305-41307(a)) or any penalty assessed against the Principal pursuant to section 13 of the Shipping Act (46 U.S.C. 41107-41109).”

The Proof of Claim seeks recovery under the surety’s bond. After reviewing your claim and the documents submitted, the surety found that the condition of the bond has not been met. There is no indication that a judgment against the Principal has been obtained, nor has a settlement been made as to your claim, pursuant to 46 CFR 515.23. Therefore, based on the language of the bond, the surety must respectfully deny your claim.

(C. RFI Resp. at Attch. “Claim OTI bond Hudson Group”).

¹¹ The conversion was calculated using an online historical currency conversion calculator for the date of July 21, 2026. <https://www.oanda.com/currency-converter/en/?from=EUR&to=USD&amount=12220> (last visited Aug. 25, 2026).

V. ANALYSIS

A. Violation of Section 41102(c)

Section 41102(c) of the Shipping Act states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). The elements of a section 41102(c) claim are that:

- (1) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (2) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (3) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (4) The practice or regulation is unjust or unreasonable; and
- (5) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

Here, Claimant’s allegations, supported by evidence submitted into the record, establish that Respondent violated section 41102(c). With respect to the first element, Respondent was a licensed ocean transportation intermediary with the FMC at the time Respondent accepted payment for an international shipment of Claimant’s household goods. Moreover, Respondent held itself out as a business engaged in arranging and coordinating international shipments of household goods. Accordingly, the first element is met.

With respect to the second element, Respondent’s conduct was not an isolated incident, but rather the continuous manner in which Respondent was conducting business. *See Interpretive Rule, Shipping Act of 1984*, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018) (a violation requires a showing that “the unreasonable regulation or practice was the normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business”). To date, the Commission has received at least four other complaints filed against Respondent from different claimants alleging the same pattern of accepting payment for an international shipment of household goods, and then failing to ship or deliver the household goods and ceasing communication. On the same date as the issuance of the Initial Decision in this matter, Initial Decisions are also being issued in those four separate cases finding that Respondent engaged in the same unreasonable practice.¹²

¹² Docket Nos. 2061(I), 2063(I), 2064(I), and 2067(I).

The third element is also met. Respondent's conduct related to the pickup, shipment, and delivery of Claimant's household goods from Arizona to France—thus relating to the “receiving, handling, storing, or delivering property.” 46 C.F.R. § 545.4(c).

Respondent's conduct was patently unreasonable, as Respondent accepted payment for an international shipment of Claimant's household goods, but then abandoned the household goods in storage with a third-party, never shipped the household goods, and ceased communicating with Claimant. Accordingly, the fourth element is met.

Finally, the last element is met, as Respondent's conduct proximately caused Claimant to suffer losses—Claimant paid Respondent for a shipment that Respondent never performed, and Claimant had to pay the storage fees to retrieve her household goods from the third-party.

B. Reparations

The Claim originally sought reparations of over \$42,000, comprised of: \$14,950 paid to Respondent; \$1,716.75 paid for cargo insurance; storage charges estimated at \$10,000; legal costs of \$500; cost of hiring a different international moving company estimated at \$15,000; plus unspecified amounts for “[l]oss of use of personally belongings, including a motorbike, since August 19, 2025” and for “[l]oss and/or misplacement of the original motorbike title.” (Claim at ¶ VI).

The RFI requested proof of the amount of damages alleged in the Claim. (RFI at No. 10). Claimant's response to the RFI provided additional information regarding events that transpired after the filing of the Claim. In the intervening time, Claimant negotiated a resolution with the third-party storing the household goods, in which Claimant paid \$5,000 to settle the accrued storage fees in return for the release of her household goods. (C. RFI Resp. at No. 6 and Attch. “10659 Paid Invoice”). Additionally, Claimant received a settlement from the cargo insurance provider for a total of €16,647.00, the equivalent of \$19,019.40. (C. RFI Resp. at No. 4 and Attch. “Communicatin Baker Group Insurance Broker”). Finally, Claimant paid \$4.00 to obtain a replacement title for the motorbike. (C. RFI Resp. at No. 4 and Attch. “Payment MVD Title Replacement”). Claimant's response to the RFI updated the “amount of damages incurred so far” to include: \$14,950 paid to Respondent for the shipment; \$1,716.95 paid for cargo insurance; \$5,000 paid in storage fees; €12,220 for the cost of hiring a different international moving company to ship the household goods; €300 customs broker fee; and \$4.00 paid for a replacement title for the motorbike. (C. RFI Resp. at No. 10). Claimant further contends that “[d]espite receiving a settlement from the cargo insurance ... for the new moving costs, [Claimant is] still at a loss on the initial amount paid to Transparent (\$14,950).” (*Id.*).

Pursuant to section 41301, a “complainant may seek reparations for an injury to the complainant caused by [a] violation” of the Shipping Act. 46 U.S.C. § 41301(a). “If the complaint was filed within [three years after the claim accrues], the Federal Maritime Commission shall direct the payment of reparations to the complainant for *actual* injury caused by a violation.” *Id.* § 41305(b) (emphasis added). Accordingly, “[r]eparations will only be awarded based on actual damages.” *Color Brands, LLC v. AAF Logistics, Inc.*, Dkt. No. 22-18, 2024 WL 4034609, at *2 (ALJ Aug. 27, 2024), *admin. final* Sep. 27, 2024. “The term ‘actual damages,’ ... means those recoverable from a wrongdoer as compensation for the actual loss or

injuries sustained by reason of the wrongdoing.” *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, Dkt. No. 88-15, 1990 WL 427466, at *23 (FMC Oct. 19, 1990). “That does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Dkt. No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022). The Commission allows the adjudicator discretion in determining the amount of reparations. *Samsung Electronics America, Inc. v. SM Line Corp.*, Dkt. No. 23-01, 2026 WL 2427726, at *10 (FMC Aug. 13, 2026). In awarding reparations for actual injury, the Commission considers whether the claimant “has received something it wanted” and avoids an award of reparations that would cause a claimant to “unfairly receiv[e] a windfall.” *CMI Distribution, Inc. v. Service By Air, Inc.*, Dkt. No. 17-05, 2021 WL 3367603, at *17 (FMC Jul. 26, 2021); *see also TPG Pressure, Inc. v. Omni Logistics LLC*, Dkt. No. 22-31, 2024 WL 4226354, at *42 (ALJ Sept. 12, 2024) (calculating a reparations award that “prevent[ed] the shipper from unfairly receiving a windfall”); *Carrier Int’l Corp. v. Waterman Steamship Corp.*, Dkt. No. 85-1, 1985 WL 148944, at *4 (FMC Dec. 30, 1985) (reversing ALJ’s award of reparations because it would “result[] in an unanticipated and unwarranted windfall to Complainant if reparations [were] awarded.”).

Here, Respondent’s violation proximately caused injury to Claimant in the form of the \$14,950.00 Claimant paid to Respondent for the shipment that Respondent never performed, \$1,716.75 Claimant paid for cargo insurance, \$5,000.00 Claimant paid to obtain the release of the household goods from the local moving company that Respondent hired but never paid, and \$4.00 Claimant paid to obtain a replacement title for the motorbike, totaling \$21,670.75.

Claimant also seeks the amount she subsequently paid to a different international moving company and the customs fees associated with shipping her household goods. But to award reparations both for the amount Claimant paid to Respondent, and the amount subsequently paid to another international moving company to ship her household goods, would result in a double recovery. In other words, by awarding reparations for the amount paid to Respondent and the cost of obtaining the release of her household goods, Claimant is placed back in the position she would have been in had she never entered into a shipping agreement with Respondent.

Moreover, Claimant has received the benefit of the cargo insurance which settled Claimant’s claim for €16,647.00, the equivalent of \$19,019. To award reparations without an offset for the cargo insurance payout would result in an unanticipated windfall to Claimant, placing Claimant in a better position than she bargained for. Subtracting the cargo insurance payout, the remaining actual injury Claimant suffered is \$2,651.75.¹³

Finally, “actual injury” includes “the loss of interest at commercial rates compounded from the date of injury.” 46 U.S.C. § 41305(a). It is reasonable to consider the date of injury as the date Complainant paid Respondent for the shipment. Respondent’s August 14, 2025, invoice to Claimant reflected that the invoiced amount was already paid. (Claim at p. 15). As absolute

¹³ The Claim also requested “[l]egal costs incurred to date of \$500” (Claim at ¶ VI), although Claimant did not include that request in response to the RFI. “The Commission is authorized only to award ‘reasonable attorney fees,’ 46 U.S.C. § 41305, a term that does not include ‘costs.’” *Cornell v. Princess Cruise Lines, Ltd.*, Dkt. No. 13-02, 2013 WL 9808684 at *62 (ALJ Jul. 23, 2013) (citing *Global Transporte Oceanico S.A. v. Coler Ocean Independent Lines Co.*, 28 S.R.R. 1162, 1163 n.5 (ALJ 1999)), *rev’d on other grounds*, 2014 WL 5316340 (FMC Aug. 28, 2014). Therefore, the request for costs must be denied.

precision is not required, August 14, 2025, shall be considered the date of injury for purposes of calculating the interest due.

VI. CONCLUSION

It is hereby **ORDERED** by that Respondent violated 46 U.S.C. § 41102(c). It is

FURTHER ORDERED that Respondent must pay reparations in the amount of \$2,651.75, plus interest calculated from August 14, 2025.

SO ORDERED

Jamie L.
Mendelson -S

Digitally signed by
Jamie L.
Mendelson -S

Jamie L. Mendelson
Small Claims Officer